VARIATION AGREEMENT No. 1

THIS VARIATION AGREEMENT is dated 9 January 2024

PARTIES

(1) VARNHOLT AEROSTRUCTURES LIMITED, incorporated and registered in England and Wales with company number 07731846, whose registered office is at Sinfin Lane Works, Calloway Road, Derby DE24 9GN (the "Buyer"); and

(2) QUELLCREST ROBOTICS LTD, incorporated and registered in England and Wales with company number 10482277, whose registered office is at Unit 7, Tolland Park, Brackenhurst Road, Coventry CV3 4RZ (the "Supplier").

BACKGROUND

(A) The Buyer and the Supplier are parties to a supply and installation agreement dated 14 March 2023 for the design, manufacture, supply, installation, testing and commissioning of six robotic drilling and fastening cells at Sinfin Lane Works, Derby (the "Agreement").

(B) The Buyer wishes to purchase two additional cells, configured for its B-series rib family, to be installed at the south end of Bay 2, and the Supplier has agreed to supply them on the terms of the Agreement as varied by this Variation Agreement.

(C) Under clause 4.2(b) of the Agreement the Supplier was required to deliver Cell 4 not later than 26 April 2024, which is before the Site Readiness Date for Bay 3 of 29 April 2024. The Parties have agreed to re-sequence Cells 4, 5 and 6 by one week so that Delivery to Bay 3 follows the Site Readiness Date, and to fix the Planned Acceptance Dates of the additional cells.

(D) This Variation Agreement is a Variation for the purposes of clause 12 of the Agreement and is signed by a director of each Party.

AGREED TERMS

1. INTERPRETATION

1.1 Words and expressions defined in the Agreement have the same meanings in this Variation Agreement, and the rules of interpretation in clause 1.2 of the Agreement apply.

1.2 In this Variation Agreement, "Effective Date" means the date of this Variation Agreement, and "Additional Cells" means Cell 7 and Cell 8.

2. ADDITIONAL CELLS

2.1 With effect from the Effective Date, the Supplier shall design, manufacture, supply, deliver, install, test and commission the Additional Cells in accordance with the Agreement.

2.2 The Specification in Schedule 1 of the Agreement applies to the Additional Cells with the modifications set out in the Annex to this Variation Agreement.

2.3 The Additional Cells shall be installed at the south end of Bay 2. The Buyer confirms, and the Supplier acknowledges, that the south end of Bay 2 formed part of Bay 2 when Bay 2 was handed over on 27 November 2023 and that it complies with the Site Readiness Requirements.

2.4 With effect from the Effective Date, every reference in the Agreement to "the Cells" or to "each Cell" includes the Additional Cells, and the definition of "Cell" in clause 1.1 of the Agreement shall be read as referring to eight cells, numbered Cell 1 to Cell 8.

2.5 The Cell Price of each Additional Cell is eight hundred and forty-five thousand pounds sterling (£845,000). Clause 9 and Schedule 4 of the Agreement apply to each Additional Cell by

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reference to that Cell Price, so that the Liquidated Damages for each full week of delay are £4,225 and the maximum Liquidated Damages for each Additional Cell are £84,500.

3. **CONTRACT PRICE**

3.1 Clause 6.1 of the Agreement is deleted and replaced with:

"6.1 The Contract Price is six million five hundred and fifty thousand pounds sterling (£6,550,000), being a Cell Price of £810,000 for each of Cells 1 to 6 and a Cell Price of £845,000 for each of Cells 7 and 8."

3.2 For the avoidance of doubt, the increase in the Contract Price is £1,690,000 (2 x £845,000), and all references in the Agreement to the Contract Price (including in clauses 18.2 and 18.4) are to the Contract Price as varied by this clause 3.

4. **SCHEDULE 2 (PRICE AND PAYMENT MILESTONES)**

4.1 The table in paragraph 2 of Schedule 2 to the Agreement is deleted and replaced with the following table, and paragraph 1 of Schedule 2 shall be read accordingly:

Milestone	Payment event	% of Cell Price	Per Cell 1-6 (£)	Per Cell 7-8 (£)	Total Cells 1-6 (£)	Total Cells 7-8 (£)	Total all Cells (£)
M1	Signature of the Agreement (Cells 1-6) / of this Variation Agreement (Cells 7-8)	20%	162,000	169,000	972,000	338,000	1,310,000
M2	Issue of FAT Certificate for the Cell	30%	243,000	253,500	1,458,000	507,000	1,965,000
M3	Delivery of the Cell to the Site	30%	243,000	253,500	1,458,000	507,000	1,965,000
M4	Acceptance of the Cell	20%	162,000	169,000	972,000	338,000	1,310,000
Total		100%	810,000	845,000	4,860,000	1,690,000	6,550,000

4.2 The evidence required with each invoice remains as set out in Schedule 2 (no evidence for M1; copy FAT Certificate for M2; signed delivery note for M3; copy Acceptance Certificate for M4). Invoices for the Additional Cells shall quote purchase order number VAR-PO-23-0412/A1.

5. **SCHEDULE 3 (PLANNED ACCEPTANCE DATES)**

5.1 Schedule 3 to the Agreement is deleted and replaced with the following:

Cell	Location	Planned Acceptance Date
Cell 1	Bay 2	9 February 2024
Cell 2	Bay 2	23 February 2024
Cell 3	Bay 2	8 March 2024
Cell 4	Bay 3	31 May 2024
Cell 5	Bay 3	14 June 2024
Cell 6	Bay 3	28 June 2024
Cell 7	Bay 2 (south)	12 July 2024
Cell 8	Bay 2 (south)	26 July 2024

5.2 The Planned Acceptance Dates of Cells 1, 2 and 3 are unchanged. The Planned Acceptance Dates of Cells 4, 5 and 6 are each one week later than those originally set out in Schedule 3. The Supplier confirms that it makes no claim for any extension of time or additional payment

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in respect of any matter arising before the Effective Date.

6. **CLAUSE 4.2 (TIMETABLE)**

6.1 Clause 4.2 of the Agreement is deleted and replaced with:

"4.2 Without prejudice to clause 4.1, the Supplier shall:

(a) complete the FAT of each Cell not later than eight (8) weeks before its Planned Acceptance Date;

(b) achieve Delivery of each Cell to the relevant Bay not earlier than the Site Readiness Date for that Bay and not later than four (4) weeks before its Planned Acceptance Date;

(c) achieve Acceptance of each Cell on or before its Planned Acceptance Date, as set out in Schedule 3;

(d) install Cells 7 and 8 at the south end of Bay 2, the FAT of Cells 7 and 8 to follow the FAT of Cell 6 at the Supplier's facility in Coventry; and

(e) give the Buyer not less than five (5) Business Days' written notice of each Delivery, in accordance with clause 5.2."

7. **MILESTONE 1 FOR THE ADDITIONAL CELLS**

7.1 The Supplier may invoice Milestone M1 for the Additional Cells (£338,000 plus VAT) on or after the Effective Date, and clause 7 of the Agreement shall apply to that invoice.

8. **EFFECT OF THIS VARIATION AGREEMENT**

8.1 Save as varied by this Variation Agreement, the Agreement shall continue in full force and effect, and the Agreement and this Variation Agreement shall be read and construed as one document.

8.2 Without limitation, clauses 7 (Payment), 9 (Liquidated damages), 11 (Extension of time), 15 (Warranty), 18 (Limitation of liability) and 21 (Dispute resolution) of the Agreement, and Schedules 1, 4 and 5, are not varied by this Variation Agreement except as expressly stated in clauses 2.2 and 2.5.

8.3 References in the Agreement to "this Agreement" shall be read as references to the Agreement as varied by this Variation Agreement.

9. **COUNTERPARTS**

9.1 This Variation Agreement may be executed in any number of counterparts, which together constitute one agreement. Transmission of an executed counterpart by email (PDF) shall take effect as delivery of an executed counterpart.

10. **GOVERNING LAW AND JURISDICTION**

10.1 This Variation Agreement and any dispute or claim arising out of or in connection with it shall be governed by the law of England and Wales, and clause 21 of the Agreement applies to any Dispute arising out of it.

This Variation Agreement has been entered into on the date stated at the beginning of it.

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ANNEX - SPECIFICATION MODIFICATIONS FOR CELLS 7 AND 8

1. Fixtures. In place of the A-series fixtures described in Part A of Schedule 1, each Additional Cell shall be supplied with two fixtures for the Buyer's B-series rib family (part numbers VAR-R-2200 to VAR-R-2260).

2. Linear track. The linear floor track of each Additional Cell shall be 14 m long (in place of 12 m), assembled from the Supplier's new-generation track sections, so that the footprint of each Additional Cell is 8.5 m x 16.0 m.

3. Fastener feed. The fastener feed system shall handle three fastener diameters (4.0 mm, 4.8 mm and 6.35 mm) and the B3 hole diameter requirement in Part B of Schedule 1 shall apply at each of those diameters.

4. Performance. The performance requirements B1 to B8 in Part B of Schedule 1, and the Test Specification in Part C of Schedule 1, apply to the Additional Cells without change. In particular, the positional accuracy requirement remains ≤ 0.15 mm.

5. Layout. The positions of the Additional Cells are shown on the Buyer's drawing VAR-SL-GA-002 rev F (Bay 2 south). The foundation requirements remain as shown on the Supplier's drawing QR-FD-0412 rev B.

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EXECUTION

Signed by GRAHAM PETRAKIS, Managing Director, for and on behalf of VARNHOLT AEROSTRUCTURES LIMITED



Date: 9 January 2024

Signed by DOUGLAS FENN, Managing Director, for and on behalf of QUELLCREST ROBOTICS LTD



Date: 9 January 2024

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